

economic returns of the other businesses, the company was now reinvesting its profits in its highest-return business.

Tenet: Determine the Value

When Buffett first purchased Coca-Cola in 1988, people asked: “Where is the value of Coke?” The company’s stock price was 15 times earnings and 12 times cash flow—a 30 percent and 50 percent premium to the market average. Buffett paid five times book value for a company with 6.6 percent earnings yield at a time when long-term bonds were yielding 9 percent. He was willing to do that because of Coke’s extraordinary level of economic goodwill. The company was earning 31 percent on equity while employing relatively little in capital investment. Buffett has explained that price tells you nothing about value. The value of Coca-Cola, he said, like that of any other company, is determined by the total owner earnings expected to occur over the life of the business, discounted by the appropriate interest rate.

In 1988, owner earnings of Coca-Cola equaled \$828 million. The 30-year U.S. Treasury bond (the risk-free rate) at that time traded near a 9 percent yield. Coca-Cola’s 1988 owner earnings, discounted by 9 percent, would produce an intrinsic value of \$9.2 billion. When Buffett purchased Coca-Cola, the market value was \$14.8 billion. At first glance this seems to suggest that Buffett might have overpaid for the company. But remember that the \$9.2 billion represents the discounted value of Coca-Cola’s then-current owner earnings. If buyers were willing to pay a price for Coca-Cola that was 60 percent higher than \$9.2 billion, it must have been because they perceived part of the value of Coca-Cola to be its future growth opportunities.

Analyzing Coca-Cola, we find that owner earnings from 1981 through 1988 grew at a 17.8 percent annual rate—faster than the risk-free rate of return. When this occurs, analysts use a two-stage discount model. It permits them to calculate future earnings when a company has extraordinary growth for a limited number of years, followed by a period of constant growth at a slower rate.

We can use this two-stage process to calculate the 1988 present value of the company’s future cash flows. In 1988, Coca-Cola’s owner earnings